

20,000 from today's level, but without the psychological comfort provided by a preceding multi-year uptrend. At the time, bulls and bears were split, so just getting the *direction* right was considered a 50/50 proposition. That forecast was based on the same tenet of wave equality cited in our 1978 book, but measuring from the then-just-completed low of 776.92 in August 1982.

As detailed in the appendices of *Elliott Wave Principle*, three of the four Primary degree turning points within the bull market were accurately projected by *The Elliott Wave Theorist* to within 10 Dow points, and the fourth was recognized by A.J. Frost upon termination. These precedents (as well as those set by Elliott, Collins, Bolton and Frost, as detailed in New Classics Library's other books) are convincing evidence that such accuracy is repeatedly possible using the Elliott Wave approach. The last remaining bull market turning point is the fifth one, the final high. Is the move past EWT's original upside target of analytical import?

By all modern standards, as detailed in Chapters 10 and 11, the stock market has already reached a point of record speculative fever. By Grand Supercycle standards (see the rise into 1720 in Figure 2-2), the current level of speculative insanity is entirely normal. *The Elliott Wave Theorist* communicated that thought well in advance, on September 6, 1993. As the Dow reached 3700, EWT said, "The great Cycle wave V bull market has fulfilled *all of its originally expected gains*. [Nevertheless,] do not become convinced upon any further rise that a new era has arrived. If the Dow reaches 4000+, it will not signal anything bullish, *only the extension of a top*." Whatever level marks the high in the Dow's push to maximum euphoria, it will likely coincide with one or more of the resistance lines shown in Figures 2-5 through 2-8. However, stopping at a particular level is not *required* as part of the overall thesis. Though I have always been passionate about solving every aspect of the forecasting puzzle, and while I would relish including a detailed analysis, any inaccuracy could jeopardize the overall message of this book, which is *the degree and resulting implications of the upcoming bear market*. That message is too important to risk communicating any suggestion that it hinges upon the Dow peaking at a particular level. As an example of the risk involved, R.N. Elliott concluded, even after the fact, that the ideal top for the 1920s bull market was about 300. In the heat of the time, had an Elliott Wave analyst issued an ideal target of 300, many investors might have thrown in the towel near the high at 381, convinced that the entire thesis that a great